

Palantir Technologies Inc.

PLTR NYSE

Hold	\$187.66 ▼ 1.06%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$450.96B
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PLTR: Nvidia's Governance Play Rattles Sovereign AI Story

WHAT HAPPENED

- Stock is off ~1% and down from Wednesday's \$192.59 high because Nvidia just dropped an open-source governance platform for AI agents — meaning tools that keep AI systems accountable and auditable. That directly steps on Palantir's turf, since "sovereign AI" (governments running their own controlled AI systems) has been PLTR's whole pitch. If Nvidia gives that away for free, PLTR's premium pricing gets harder to defend.
- PLTR also lost the FAA's SMART contract — not huge in dollars, but symbolically it dents the "PLTR wins every gov AI deal" narrative that's baked into the stock price.

WHY IT MATTERS

Here's what this really means: PLTR trades at roughly 90x sales — meaning investors are paying \$90 for every \$1 of revenue — because the market assumes they OWN government AI. When Nvidia releases a free governance layer and PLTR loses an FAA bid in the same week, it chips at that monopoly premise. That said, the options flow is screaming bullish (call buyers piling into \$187.50 and \$190 strikes at 2-3x normal open interest), which tells me traders think this dip gets bought — probably because Q3 earnings in early November and the ongoing defense budget cycle are near-term catalysts. Watch for: if PLTR announces a big Warp Speed or Army TITAN follow-on in the next 2 weeks, the Nvidia noise gets forgotten fast.

POLICY & POLITICAL WATCH

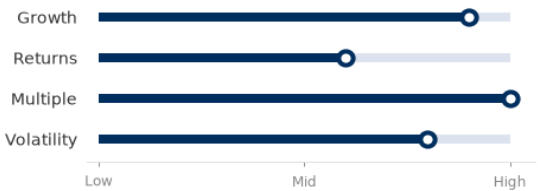
The FY2027 defense budget is working through Congress with a proposed AI/autonomy line item north of \$2B — Palantir is basically the default vendor for the Army's Vantage and TITAN programs, so passage is a direct tailwind. On the flip side, the White House's AI safety EO from earlier this year mandates federal agencies use "certified" AI governance tools, and Nvidia's new open platform could give agencies a cheaper compliant option — that's the regulatory wrinkle to watch. Also keep an eye on the Golden Dome missile-defense architecture funding: PLTR is embedded in that data layer, and any expansion in the reconciliation package flows straight to their top line.

IS IT EXPENSIVE?

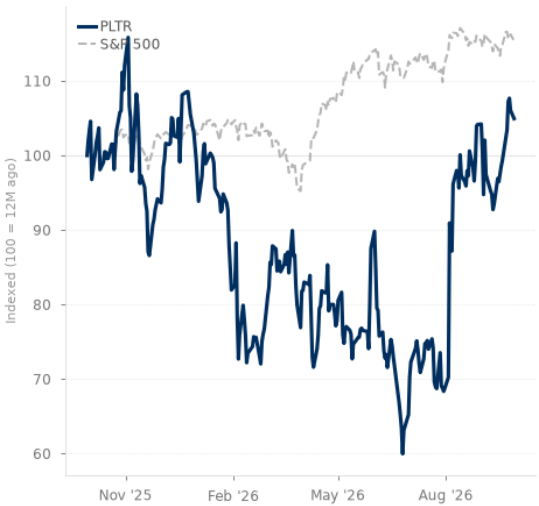
Key Data

Price (USD)	\$187.66
12M Price Target	\$195.00
Upside / (Downside)	+3.9%
Market Cap	\$450.96B
FY2026E Revenue	\$4,900M
FY2027E Revenue	\$6,700M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	302.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$205.00	\$190.00	\$170.00
6 Months	\$240.00	\$195.00	\$150.00
1 Year	\$275.00	\$200.00	\$130.00
2 Years	\$340.00	\$220.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.3% on the week) and Consumer Staples — classic defensive rotation, meaning investors are getting nervous and moving to safer ground.

COOLING OFF: Utilities (-3.3%) and Real Estate (-3%) — both are rate-sensitive, so the market may be pricing in fewer Fed cuts than expected.

ROTATION WATCH: Money is quietly moving OUT of high-multiple growth (like PLTR) INTO defensives, which explains why PLTR is drifting lower despite bullish options flow. This is a "risk-off tremor," not a full rotation yet.

RELATED PLAY: If sovereign AI keeps building, the picks-and-shovels names — NVDA for chips, and defense primes like RTX and LMT that partner with PLTR on programs — capture the same tailwind with less multiple risk.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Barron's flagged AI monetization gains — Copilot revenue is finally showing up, validating that enterprise AI spend is real.
- NVDA (Nvidia): Launched the governance platform that dinged PLTR today — they're expanding from chips into full-stack AI, which is a strategic power move.

PLTR CONTEXT: PLTR is lagging its AI cohort this week while MSFT/NVDA hit new highs — that tells me the market is starting to reward proven monetization over narrative, and PLTR needs to deliver a beat-and-raise in November to reclaim leadership.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, hate the price. Cautiously constructive but not pounding the table at \$187.

POSITION SIZE: 2-3% max. The business is real but the multiple means a bad week can cost you 15-20%, so size it like a volatility bet, not a core holding.

ENTRY POINTS: I'd wait for \$160-170 on any broad market pullback — that's where the 50-day moving average sits and where dip-buyers tend to show up.

TIME HORIZON: 12-24 months, with Q3 earnings (early November) and the FY27 defense budget vote as the two big catalysts.

WHEN TO BAIL: Revenue growth drops below 25% year-over-year, Karp announces departure, or a major government contract (Army TITAN, ICE) gets pulled or awarded to a competitor.

HEDGING: Simplest hedge — buy a put option 10% below current price expiring after earnings. Think of it as insurance: costs you a bit but caps the damage if the stock craters on a miss.